

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN

AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

BRIEF OF RESPONDENTS

SERVICE BY AIR, INC. AND RADIANT CUSTOMS SERVICES INC.

TABLE OF CONTENTS

	<u>Page</u>
I. INTRODUCTION AND SUMMARY OF ARGUMENT	1
A) The Statutory Definition of “NVOCC” does Not Encompass SBA	1
B) SBA did Not “Issue” Bills of Lading, as the “Air Waybill” Forms were Not Functional as Transportation Documents	2
C) SBA did Not “Hold Itself Out to the General Public” as an NVOCC	2
D) All Demurrage Charges SBA Invoiced, and which CMI Paid, were Reasonable, and Contractually Agreed at CMI’s Request.....	4
II. FACTUAL BACKGROUND	4
A) Parties.....	4
B) Transactions at Issue	6
C) CMI’s Understanding of SBA’s Role and Services.....	7
D) SBA did Not Issue any Bills of Lading	8
E) No Evidence Suggests SBA was a “Shipper in Its Relationship with Any Carrier” or has Ever “Held Itself Out” to the Public as an NVOCC	12
F) CMI’s Cash Flow Difficulties Prevented Its Retrieval of Delivered Cargo	17
G) “Demurrage” Charges	19
H) Proceedings	22
III. LEGAL ARGUMENT	22
A) The Shipping Act does Not Apply if SBA Operated as an Ocean Freight Forwarder for Inbound Cargo	22
B) The Statutory Definition of “NVOCC” does Not Encompass SBA	23
C) SBA did Not “Hold Itself Out to the General Public” as an NVOCC	23
D) SBA did Not Perform Tasks Delineated in 46 C.F.R. §515.2(K).....	25
E) Worldwide Relocations, Inc.....	26
IV. CONCLUSION	27

TABLE OF AUTHORITIES

Page(s)

CASES

<i>Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC; IFS International Forwarding, S.L.; and IFS Neutral Maritime Services,</i> FMC 14-04, 2014 FMC LEXIS 29, at *22-23	23
<i>In the Matter of the Lawfulness of Unlicensed Persons Acting as Agents for Licensed Ocean Transportation Intermediaries - Petition for Declaratory Order,</i> FMC 06-08, 2008 FMC LEXIS 9	24
<i>The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District,</i> FMC 06-02, 2007 FMC LEXIS 33	22
<i>N. Am. Freight Car Ass'n v. Surface Transportation Board,</i> 529 F.3d 1166 (D.C. Cir. 2008)	19
<i>Richmond, Fredericksburg & Potomac R. Co. v. U.S.,</i> 945 F.2d 765 (4th Cir. 1991)	22
<i>River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.,</i> 28 S.R.R. 751 (1999)	24
<i>Rose International, Inc. v. Overseas Moving Network International, Ltd., et al.,</i> FMC 96-05, 2001 FMC LEXIS 39	24

STATUTES

770 ILCS 45	17
46 U.S.C. §40101	1
46 U.S.C. §40102(6)(A)(i)	23, 25
46 U.S.C. §40102(16)	1, 23
46 U.S.C. §41305(e)	1, 28
49 U.S.C. §13506(8)	7
49 U.S.C. §13531	7
Ocean Shipping Act of 1984	passim

OTHER AUTHORITIES

46 C.F.R. §515.2(K)	25
46 C.F.R. §520	14
69 CFR §502.70	22
<i>Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.</i> , 6 S.R.R. 483, 489 n.7 (1965)	24
Common Carriers by Water--Status of Express Companies, Truck Lines and Other Non-Vessel Carriers, 6 F.M.B. 245, 256 (1961).....	24
FRCP 12(b)(1)	22
FRCP 12(b)(6)	22
FRCP 30(b)(6)	1, 3, 5
FRCP 37	8
http://www.hktdc.com/sourcing/hk_company_directory.htm?companyid=1X0280 8S&locale=en	5
<i>Worldwide Relocations</i> , FMC 06-01, 2012 FMC LEXIS 23, at *23-24	26, 27

I. INTRODUCTION AND SUMMARY OF ARGUMENT

Evidence conclusively demonstrates Service by Air, Inc. (“SBA”) did not operate, or “hold itself out to the general public,” as an NVOCC in the shipments at issue. Thus, it is not subject to, and could not operate in violation of, the Ocean Shipping Act of 1984, 46 U.S.C. §40101, *et seq.* (“the Shipping Act”), and the Commission lacks subject matter jurisdiction over the claims of complainant CMI Distribution, Inc. (“CMI”) herein. Evidence further demonstrates that all of SBA’s charges to CMI, which CMI paid without protest, were appropriate and in accordance with the parties’ specific agreement.

CMI has abandoned its claims against respondent Radiant Customs Services, Inc. as successor of SBA Consolidators, Inc., as CMI does not address that respondent’s alleged liability in either of its two briefs. Accordingly, this Brief addresses only SBA’s position in this proceeding.

The parties do not dispute governing law as to most points. Factual disagreement is at the heart of this proceeding. SBA summarizes the salient points of its arguments in response to those presented in CMI Distribution Inc.’s Opening Brief in Support of Its Claims Against SBA (“CMI Brief”) as follows, noting that CMI unequivocally conceded most of them in its FRCP 30(b)(6) Deposition and by way of the Declaration of Justin M. Jalowiecki, CMI’s employee who actually managed CMI’s relationship with SBA (“Jalowiecki”).¹ CMI’s factual arguments conflict with documents it produced in discovery and the clear testimony of its own witnesses.

A) The Statutory Definition of “NVOCC” does Not Encompass SBA

- 1) 46 U.S.C. §40102(16) defines NVOCC to mean “a common carrier that ... (B) is a shipper in its relationship ***with an ocean common carrier*** [emphasis added].”
- 2) CMI makes no argument that SBA was a “shipper” in its relationship with any common carrier. No bill of lading or other documentation identifies SBA as a shipper of record.

¹ Given that CMI’s own witnesses and evidence refute CMI’s allegations, its claims against SBA are frivolous, and SBA will request an award of its attorneys’ fees incurred by this proceeding pursuant to 46 U.S.C. § 41305(e).

3) CMI easily could look to the VOCC bills of lading and/or bills of lading issued by LAS Freight or the other Chinese NVOCCs to confirm this.

4) CMI's own expert concedes that the record does not suggest SBA was an NVOCC.

B) SBA did Not "Issue" Bills of Lading, as the "Air Waybill" Forms were Not Functional as Transportation Documents

1) Jalowiecki specifically confirms SBA never issued any bills of lading to CMI.

2) On an ongoing basis, CMI requested backup data for SBA's invoices. SBA, primarily an indirect air carrier, had a software program that generated the requested data on an "air waybill" form. SBA inadvertently provided CMI the requested data on those forms, but they were not bills of lading; CMI did not understand them to be bills of lading; issuance of the requested data was not "a mistake"; and the forms themselves were not second sets of "invoices."

3) CMI confirms it did not use the "air waybill" forms for any transportation purpose.

4) Customs documentation in CMI's possession demonstrates conclusively that SBA's "air waybill" forms were not used for any transportation purpose.

5) The unsigned "air waybill" forms facially are not functional bills of lading naming SBA as a carrier. To the contrary, they are marked for SBA's use only.

6) Had the "air waybill" forms been functional, they would have been issued to the shippers, i.e., CMI's Chinese suppliers. CMI was the consignee of the shipments at issue. SBA did not send the "air waybill" forms to the shippers, and CMI does not suggest otherwise.

7) In discovery, CMI produced only four SBA "air waybill" forms, two of which are illegible. As the remaining 45 it produces with CMI's Brief were not produced in response to SBA's discovery requests, they should be excluded from consideration now.

C) SBA did Not "Hold Itself Out to the General Public" as an NVOCC

1) No evidence suggests SBA ever "held itself out" *to the general public* as an NVOCC, which is required for consideration in determining that it should be held liable as one.

- 2) CMI, through both its FRCP 30(b)(6) Designee and Jalowiecki, concedes it did not understand SBA to be an NVOCC.
- 3) SBA did not send CMI a “tariff,” or represent to CMI that it has any “tariff,” NRA or any other such documentation which only NVOCCs would have. Jalowiecki confirms the following:
 - i. CMI, through Jalowiecki, sent SBA the pricing form of CMI’s former service provider UTI United States, Inc. (“UTI”), and asked SBA to state SBA’s pricing on a copy of the identical form so that CMI could conveniently compare UTI’s and SBA’s pricing “side by side.” SBA complied, and replaced UTI’s logo with SBA’s logo on UTI’s form so that CMI would understand the side-by-side pricing comparisons on the two documents (i.e., whose was whose).
 - ii. CMI, through Jalowiecki, “did not understand SBA to be adopting UTI’s terms and conditions by it submitting pricing on UTI’s form table without deleting the small, preprinted text.” CMI did not interpret preprinted references on UTI’s form to be a representation that SBA had a “tariff.”
 - iii. CMI understood the term “tariff,” as CMI and SBA used it, to mean simply a price list of services SBA would provide in the informal sense. CMI did not understand the term to mean a formal NVOCC tariff that SBA would publish in accordance with Commission regulations.
- 4) SBA never assumed responsibility for transportation as an NVOCC.
- 5) SBA never stated it would perform the same functions as UTI.
- 6) SBA never asserted “carrier liens.”
- 7) SBA did not conceal the identity of actual carriers, which is clear by the fact CMI had in its possession house bills of lading issued by the actual Chinese NVOCCs.

D) All Demurrage Charges SBA Invoiced, and which CMI Paid, were Reasonable, and Contractually Agreed at CMI's Request

- 1) CMI's Chinese suppliers, i.e., the shippers in the subject transports, directed that the Chinese NVOCCs which arranged the subject transports not issue original bills of lading, thereby preventing CMI from taking possession of the subject cargo unless and until CMI had paid the suppliers under the commercial invoices. Thus, cargo release could be effected only by the issuance of telex releases once CMI had paid its Chinese suppliers.
- 2) CMI was experiencing ongoing cash-flow issues that prevented it from paying its Chinese suppliers, which delayed issuance of the telex releases and resulted in the accrual of significant demurrage charges.
- 3) At CMI's request, SBA and CMI agreed to a set rate of \$300.00/day/container for demurrage. CMI requested a set rate so that it could budget its future demurrage obligations in light of its ongoing cash flow issues. CMI paid SBA's demurrage invoices at this rate without protest.
- 4) SBA estimates that the demurrage it collected from CMI exceeds payments SBA made to Freight Tech Cartage, Inc. ("Freight Tech"), which actually possessed the cargo, by approximately 20%. This margin is appropriate under industry standards to account for SBA's administrative efforts and the risk that CMI would not pay SBA demurrage charges SBA had paid Freight Tech.

II. FACTUAL BACKGROUND

A) Parties

1) SBA

SBA, located in Bensenville, Illinois, operates primarily as an indirect air carrier and surface third-party logistics provider. It was never licensed for, and has never participated in, NVOCC activities or outbound ocean transportation. SBA's wholly-owned subsidiary, SBA Consolidators, operates as a customs brokerage and freight terminal operator. In or about June 2015, non-party Radiant Global Logistics, Inc. acquired SBA, and by extension, SBA

Consolidators. SBA still exists as a separate corporate entity wholly owned by Radiant Global Logistics, Inc.²

2) LAS Freight

Respondent LAS Freight Systems, Inc. (“LAS Freight”), a China company, operates as an ocean freight forwarder as provided by China law, which apparently is comparable to an NVOCC under the U.S. system.³ It is FMC-licensed as an NVOCC.

3) CMI

CMI is one of several commonly owned and operated companies that operates, in relevant regard, as an importer of plastic bags and similar products. CMI is sophisticated in transportation, as it imports “50, 60 percent” of the product it sells.⁴ “CMI has a history of operating with logistics service providers to bring cargo into the United States.”⁵ Its sister company, CMI Transportation, operates as a surface freight forwarder that provides logistics services.⁶

4) Individuals

For ease of reference, below is a list of individuals involved in the transactions at issue:

- a) Edward A. Zasada, SBA’s regional manager
- b) Bryan Tincher, SBA’s manager of domestic freight forwarding
- c) Justin M. Jalowiecki, CMI’s warehouse manager who managed CMI’s relationship with SBA
- d) Maria Vegas, CMI’s controller and FRCP 30(b)(6) designee
- e) Diana Alvarez, CMI’s bookkeeper
- f) Michael Gallo, one of CMI’s principals

² Declaration of Edward A. Zasada (“Zasada Declaration”).

³ See http://www.hktdc.com/sourcing/hk_company_directory.htm?companyid=1X02808S&locale=en.

⁴ Transcript of Deposition of CMI’s FRCP 30(b)(6) Designee Maria T. Vega (“Vega Deposition”), a copy of which is attached as Exhibit 1 to the Declaration of Steven W. Block (the “Block Declaration”), at 23-24.

⁵ Vega Deposition at 29.

⁶ *Id.* at 16-19.

B) Transactions at Issue

In or about early 2014, CMI contacted SBA requesting that SBA arrange importation from China into the U.S. of approximately 80 containers of cargoes consisting primarily of slider plastic bags.⁷ CMI requested ocean transportation, port-to-door service, and customs clearance.⁸

SBA engaged LAS Freight to arrange the subject ocean transports from China. LAS Freight issued house through bills of lading from China to SBA's facility in Bensenville for the transports at issue for the vast majority of the shipments.⁹ LAS engaged other Chinese NVOCCs¹⁰ for several of the shipments, and those other Chinese NVOCCs issued through house bills of lading for the shipments they administered.¹¹ None of these house bills of lading named SBA as a shipper of record.

However, LAS Freight and the other Chinese NVOCCs did not issue original bills of lading, thereby protecting the Chinese shippers from CMI obtaining the cargo until the shippers authorized issuance of "telex releases." Thus, unless and until CMI paid invoice costs to its Chinese suppliers, LAS Freight and the other Chinese NVOCCs would not issue telex releases, and transportation service providers down the chain were precluded from releasing the cargo to CMI.¹²

The ocean transports landed in various west coast ports, and were transported by rail to inland destinations, mostly Chicago. SBA Consolidators processed customs clearance, which is the only role it played in the transactions at issue.¹³ SBA engaged motor carrier Freight Tech to dray most of the cargo from the inland rail yards to Freight Tech's yard in Naperville, Illinois,

⁷ *Id.* at 90.

⁸ *Id.* at 40 and Zasada Declaration.

⁹ Zasada Declaration and copies of bills of lading attached as Exhibit 1 thereto.

¹⁰ These are "U.S. United Logistics (NINGNO) Co.," "Ocean Star Transport Int'l, Ltd.," "Ever Since Group Co., Ltd.," "Acme Freight Services Corp.," "Anchor Logistics," and "Global Links Express, Inc." While LAS Freight is an FMC-licensed NVOCC, these other Chinese transportation service providers apparently are not, and therefore technically are not "NVOCCs," as China does not use that moniker. For ease of reference, they are referred to as "Chinese NVOCCs" herein.

¹¹ Zasada Declaration and copies of bills of lading attached as Exhibit 1 thereto.

¹² Zasada Declaration.

¹³ *Id.*

where it would await further delivery instructions. SBA was never in physical possession of the cargo. CMI's China-based suppliers instructed LAS Freight, which in turn instructed SBA, not to release the cargo to CMI unless and until confirmation was received that CMI had paid the suppliers under the commercial invoices for CMI's purchase of the cargo. This would be accomplished by telex releases.¹⁴

C) CMI's Understanding of SBA's Role and Services

CMI concededly does not know what an NVOCC is.¹⁵ It does not "know the difference between the services that an NVOCC provides as compared to an ocean freight forwarder."¹⁶ As CMI's 30(b)(6) designee put it, "[w]hether they [SBA] were an NOVO -- whatever it was -- or if they had ocean vessels, I never got that detailed with."¹⁷ When asked whether "SBA agreed to provide CMI NVOCC services," she responded, "I don't know."¹⁸ She did not know whether "an ocean freight forwarder could have issued a bill of lading with regard to the shipments at issue in the lawsuit."¹⁹ Before beginning its relationship with SBA, CMI believes it researched "SBA's services and its capacities, its history, its licensing."²⁰ It also reviewed SBA's Terms and Conditions,²¹ a copy of which it produced to respondents in discovery.²² Those Terms and Conditions provide that SBA is:

[A] domestic (U.S.) and international air freight forwarder providing services as an indirect air carrier, including the issuance of house air waybills for individual shipments, assembly, consolidation and arrangement of transportation of goods via direct air carriers, pursuant to exemptions at 49 U.S.C. §§ 13531 and 13506(8). Service By Air, Inc. is also duly registered as a surface freight forwarder with the Federal Motor Carrier Safety Administration under Docket No. FF-005392 to provide ground transportation services via motor carriers selected by Service By Air, Inc.

¹⁴ *Id.*

¹⁵ Vega Deposition at 28 and 51.

¹⁶ *Id.* at 113-14.

¹⁷ *Id.* at 30-31.

¹⁸ *Id.* at 54.

¹⁹ *Id.* at 115.

²⁰ *Id.* at 37.

²¹ *Id.* at 64.

²² Copy attached as Exhibit 2 to the Block Declaration.

D) SBA did Not Issue any Bills of Lading

Pivotal to the analysis of CMI's claims is that SBA did not issue to CMI any bill of lading for any of the shipments at issue. At CMI's request, SBA provided certain accounting data on a computer-generated form that contains the words "air waybill." However, CMI fully conceded in its 30(b)(6) testimony and declaration of the manager of its relationship with SBA that these "air waybill" forms were never intended, understood or functionally applied as bills of lading. Thus, they were not "functional bills of lading" in any sense.

CMI had copies of the house bills of lading LAS Freight and the other Chinese NVOCCs issued. Thus, CMI now claims it has two bills of lading for each shipment: the first, an ocean house bill of lading issued by a Chinese NVOCC which properly documents the shipment, and was used for customs clearance; and the second, an unsigned SBA "air waybill" form, denied by CMI's own employee as a functional bill of lading and which its 30(b)(6) Designee confirms CMI requested and used for accounting purposes only.²³ Nonetheless, CMI believes the second demonstrates SBA acted as an NVOCC.

1) SBA air waybill forms

Jalowiecki confirms in testimony that SBA did not issue any bills of lading to CMI for the subject transports.²⁴ In response to SBA's argument that it did not issue bills of lading, CMI produced in discovery four SBA "air waybill" forms, two of which are wholly illegible. With the CMI Brief, CMI produced an additional 45 "air waybill" forms, for a total of 49.²⁵ Also in discovery, CMI produced ocean house bills of lading issued by Chinese NVOCCs for the subject shipments, each accompanied by CBP Forms 7501 pertinent to each entry.²⁶ Again, these Chinese house bills of lading do not identify SBA as a shipper of record.

²³ See discussion below.

²⁴ Declaration of Justin M. Jalowiecki ("Jalowiecki Declaration").

²⁵ That the new 45 forms were not produced in discovery is clear by the absence on them of Bates Stamp numbering which appears in the first four pages numbered CMI00278, 280, 282 and 283. Because they were not produced in response to SBA's discovery requests, and SBA had no opportunity to explore them in depositions, they should not be considered now (pursuant to FRCP 37).

²⁶ Copies attached as Exhibit 3 to the Block Declaration.

CMI does not know when it received the documents marked “air waybill,”²⁷ only that “[i]t took [CMI] some time to get them after the transportation was completed ...,” i.e., “after the container had been in [its] possession for a while.”²⁸ Regarding the Chinese NVOCC house bills of lading it received, CMI “didn’t read most of them in detail,”²⁹ and claims it does not know what entity issued them, even though “LAS Freight” appears on most.³⁰

CMI requested from SBA “backup” documentation for each shipment, and in response, received the “air waybill” forms by email from SBA employee Bryan Tincher (“Tincher”).³¹ CMI then “[a]ttached them to the invoices or put them in the freight container folder” so as “[t]o confirm the quantity, the weight, the count, the entry, the cost of customs and duties ...”³² Significantly, it “didn’t use them ... to receive cargo,”³³ and “did not use any bill of lading for purposes of confirming proper delivery to a transportation service provider.”³⁴ Rather, it retained them only for its “internal accounting purposes” and for “backup.”³⁵ CMI made only “internal” use of the documents, i.e. “[j]ust to confirm our purchase order, quantity, amounts.”³⁶ When asked “[d]id you ever use those airway bills as evidence of contracts of carriage and evidence that SBA was acting as an NVOCC in assuming responsibility for transportation at issue,” CMI’s 30(b)(6) Designee responded: “For any reason, no; I didn’t use them to prove to someone that we have SBA as our carrier.”³⁷

²⁷ Vega Deposition at 165-66.

²⁸ *Id.* at 196-97. See also pp 47-48, wherein Vega testifies: “When we requested invoices and the backup, nine times out of ten, we’d only get the invoice. We wouldn’t get the actual paperwork from the entry forms, the customs and duties, anything behind it. We would be shorted. Three weeks later, I would get an invoice, another copy, and then the backup; so not always. It would be delayed. There was always a delay.”

²⁹ *Id.* at 105.

³⁰ *Id.*

³¹ Vega Deposition at 186-87. Contrary to CMI’s assertions (CMI Brief at 19), Vega, as CMI’s 30(b)(6) Designee, “knew all along, there was no air transportation for any of this, despite the word ‘air’ appearing on documents...” Vega Deposition at 195.

³² *Id.* at 109-10.

³³ *Id.* at 111.

³⁴ *Id.* at 111-12.

³⁵ *Id.* at 165-66.

³⁶ *Id.* at 167.

³⁷ *Id.* at 170.

As SBA operates primarily as an indirect air carrier, its operational and accounting software programs are designed to generate air transport documentation. SBA did not “issue” the documents labeled “air waybill” as functional bills of lading in the transportation process. With the passage of time, Radiant Global Logistics’ acquisition of SBA, attrition of personnel, and change of computer systems, why SBA generated and sent CMI those documents is unclear. SBA surmises that one of its accounting clerks sent CMI the documents in response to a request for backup documentation.³⁸ CMI itself does not find this surprising. As CMI’s 30(b)(6)

Designee testified:

Q Are you surprised to get documents marked airway bill?

A I guess I wasn’t because SBA stands for what, air – ... So that was their – it’s just, like, packaging. We send out small wares, grocery product under packaging. So people have different, you know --

Q Different forms, right?

A -- forms of doing business and their lingo. I personally thought, “Hey, somebody never changed their invoices.”

Q Their documents?

A Their documents. ... That’s the way I looked at it.³⁹

She further testified: “This is their way of communicating their information on an airway bill. That’s all I knew, even though I knew it was ocean freight and ... no one ever got around to changing the lingo, the wording, the label, whatever.”⁴⁰ In other words, CMI concededly viewed the “air waybills” as “invoicing” documentation as opposed to functional bills of lading to be used in the transportation process. CMI “never thought that [SBA was] trying to deceive [it] by ...transporting cargo by air when it was really going by ocean,” and “never thought that ... SBA charged [it] for air transportation rates ... even though ocean freight, which is much less expensive, had been provided.”⁴¹

CMI received emails from SBA containing various accounting backup documentation for each shipment, i.e., the data SBA supplied on “air waybill” forms; the LAS Freight and other

³⁸ Zasada Declaration.

³⁹ Vega Deposition at 172-73.

⁴⁰ *Id.* at 175.

⁴¹ *Id.*

Chinese NVOCC house bills of lading; and the CBP Forms 7501 addressed above. Contrary to CMI's assertion, the "air waybill" forms were not the second of "two sets of invoices to CMI"⁴²; rather, they were form documents containing data CMI requested for various accounting purposes in coordination with SBA's invoicing.

Additionally, the "air waybill" forms CMI presents facially are not functional as ocean bills of lading for the following reasons:

- a) They were never tendered to any shipper,⁴³ and the record does not suggest otherwise.
- b) They are not signed by a shipper, the preprinted phrase "SERVICE BY AIR, INC." appearing in the shipper's signature blocks.
- c) All but a few of the "air waybill" forms are marked at the bottom "COPY 8 (FOR AGENT)," which designates it to be a copy that SBA would retain for its own records had the document been used in transportation. Had the "air waybill" forms been used in transportation, CMI's copy would have been marked "ORIGINAL 2 (FOR CONSIGNEE)."⁴⁴

2) Customs forms

CMI did not review the bill of lading numbers stated on the CBP Forms 7501 to determine whether the numbers stated on the "air waybill" forms appear on any one of them.⁴⁵ Had it done so, it would have seen that that no CBP Form 7501 it produced states any of the "air waybill" numbers of the SBA "air waybill" forms CMI relies on.

Similarly, the CBP Forms 3461 SBA Consolidators filed for each entry specify the SCAC codes of ocean carriers which issued house or master bills of lading.⁴⁶ The CBP Forms 3461 specify the Chinese NVOCC's house bill of lading number in Box 21 after the letter "H."⁴⁷ Had

⁴² CMI Brief at 4 and 15-16.

⁴³ Zasada Declaration.

⁴⁴ *Id.*

⁴⁵ Vega Deposition at 188.

⁴⁶ Copies attached as Exhibit 2 to the Zasada Declaration.

⁴⁷ Letter "M" specifies the ocean carrier's "Master Bill," and the letter "I" specifies "In-bond."

SBA issued a house bill for any of the subject transports, its SCAC code “SVBA” would appear before the bill of lading number appearing after letter “H” on the shipment’s corresponding CBP Form 3461. None do, and none of the designated house bill numbers conform to numbers stated on the “air waybills” CMI submits.

Thus, the two sets of CBP forms prove conclusively that SBA issued no functional bill of lading documentation – air waybill or otherwise – that documented transportation of any of CMI’s cargo.

At issue in this proceeding is whether SBA operated or “held itself out to the general public” as an NVOCC. Indisputably, CMI could demonstrate NVOCC activity by bills of lading issued to its Chinese suppliers, i.e., the shippers of the cargo for which demurrage charges accrued. It is revealing that CMI concedes it never even asked its Chinese suppliers for copies of bills of lading documenting the subject shipments.⁴⁸

E) No Evidence Suggests SBA was a “Shipper in Its Relationship with Any Carrier” or has Ever “Held Itself Out” to the Public as an NVOCC

CMI ignores two critical elements needed to establish that SBA operated and/or “held itself out” as an NVOCC, i.e., (1) a shipper relationship with a carrier; and (2) representations to the public at large of NVOCC operations.

1) No evidence suggests SBA has ever had any shipper relationship with a carrier

The record contains no suggestion, and CMI makes no argument, that SBA was a shipper of record in its relationship with any ocean carrier. None of the bills of lading issued by LAS Freight or the other Chinese NVOCCs names SBA as a shipper of record. Again, CMI made no effort to obtain copies of bills of lading from its Chinese suppliers.⁴⁹ It would be an easy matter to demonstrate SBA’s purported shipper relationship with carriers through such documentation.

⁴⁸ Vega Deposition at 111 and 117. CMI refused to produce in discovery copies of its contracts with its Chinese suppliers. *Id.* at 66-70. CMI still purchases product from at least one of these Chinese suppliers. *Id.* at 200.

⁴⁹ Vega Deposition at 111 and 117.

CMI retained Sumner Tariff Service, Inc., per Roy R. Sumner, to offer an opinion on this subject. Mr. Sumner reached the following conclusions⁵⁰:

We cannot determine from the documents submitted whether SBA was actually the NVOCC on all of these shipments or acted as agent for another NVOCC, probably domiciled overseas, for the purpose of releasing cargo to the proper consignee in the U.S.A. SBA has used airway bills to show the freight charges and in some cases storage or demurrage, which is then restated on an invoice along with customs duty/taxes, port surcharges, to ascertain a bottom line total charge.

Normally if SBA were the NVOCC on these transactions, one of their ocean freight bills of lading would be issued to the shipper instead of an airway bill, which is used for air shipments. Almost all of the invoices show freight charge as ocean freight. So there must have been an ocean bill of lading issued at the origin. There will also be a bill of lading from the underlying vessel operator showing SBA as shipper. If SBA was the agent for another NVOCC, the other firm would issue its bill of lading at origin and show as shipper on the VOCC bill of lading. We have two instances where bills of lading were provided showing LAS Freight System, Limited, as the NVOCC, and SBA in Bensenville, Illinois, as the release agent. The FMC database shows Las Freight System Ltd. as the NVOCC with Organization Number 13673 and their tariff is located on Descartes Systems.

This is important in that the NVOCC actually moving the cargo must maintain a tariff with the rates and charges applying to its shipments. So in at least the two shipments, Las Freight would be the applicable NVOCC.

In its brief supporting its claims against LAS Freight,⁵¹ CMI refers to SBA as “the agent for its affiliate, LAS Freight,” and to LAS Freight as SBA’s “agent” for purposes of billing demurrage. As LAS Freight is the documented NVOCC of the transportation at issue, SBA could not concurrently be both agent and principal of LAS Freight, and yet still be a shipper of record.

2) SBA did not “hold itself out to the general public” as an NVOCC

CMI argues SBA “held itself out” to CMI as an NVOCC to establish Shipping Act applicability. This argument is meritless. Again, both Jalowiecki and CMI’s 30(b)(6) Designee confirm that CMI did not understand SBA to be an NVOCC.

⁵⁰ Copy attached as Exhibit 4 to the Block Declaration.

⁵¹ CMI Brief at 1-3.

As bases for this assertion, CMI argues that SBA (a) presented CMI with a “tariff,” and represented that SBA had an “NRA”; (b) told CMI it “would perform the same services as UTI”; (c) “assumed responsibility” for transportation as an NVOCC; (d) asserted “carrier liens”; and (e) concealed the identity of actual carriers. Each of these arguments is unfounded.

a) SBA did not send CMI a “tariff” or represent that it had one

SBA did not send CMI a “tariff,” or represent to CMI that it has a “tariff,” NRA or any other such documentation which only NVOCCs would have.⁵² Jalowiecki testifies as follows⁵³:

- i. CMI did not understand SBA to be an NVOCC, and Jalowiecki knows of no instance in which SBA held itself out to CMI as an NVOCC.
- ii. SBA did not issue to CMI any bills of lading.
- iii. In or about August 2014, Jalowiecki communicated with Tincher regarding pricing of SBA’s services. The two used the term “tariff” in their communications. Jalowiecki understood the term “tariff,” as they both used it, to mean simply a price list of services SBA would provide in the informal sense. He did not understand Tincher to be referring to a formal NVOCC tariff that SBA would publish in accordance with Commission regulations.
- iv. In communicating with Tincher about SBA’s pricing, Jalowiecki provided him a pricing table that UTI had previously sent CMI during the CMI/UTI relationship which stated UTI’s pricing.⁵⁴ Jalowiecki asked Tincher to state to CMI SBA’s proposed pricing on an identical table so that Jalowiecki could compare UTI’s and SBA’s pricing side by side.
- v. Tincher complied, and sent Jalowiecki a revised version of UTI’s table (i.e., that Jalowiecki had sent him), now dated August 27, 2014. Tincher had replaced the pricing contents of the revised table to state SBA’s pricing terms in place of

⁵² The UTI table CMI calls a “tariff” falls far short of containing all NVOCC tariff provisions 46 C.F.R. 520 requires.

⁵³ Jalowiecki Declaration.

⁵⁴ A copy is attached as Exhibit 1 to the Jalowiecki Declaration.

UTI's, but he did not modify other terms UTI's form included in small, preprinted text on the bottom.

- vi. CMI did not understand SBA to be adopting UTI's terms and conditions by submitting its pricing on UTI's form table without deleting the small, preprinted text.

Thus, the testimony of CMI's own employee, who managed CMI's relationship with SBA and was personally involved in the generation of the form table at issue, establishes conclusively that SBA never represented it had an NVOCC tariff or NRA, and that CMI never understand SBA to be making any such representation.

In accordance with requests from Jalowiecki, SBA priced its services based on UTI's pricing. Indeed, CMI itself confirms this, as Vega states in her declaration supporting CMI's statement of facts, "CMI informed SBA its rates needed to match or beat UTI's rates, which were published in UTI's tariff."⁵⁵ Thus, CMI's assertion that SBA's "markups" of NVOCC freight rates constitutes NVOCC activity⁵⁶ is unfounded. SBA's rates were set at pricing CMI itself directed.

b) SBA did not advise CMI that it would perform "the same functions as UTI"

Citing Tincher's deposition testimony, CMI asserts that "SBA admitted under oath that it informed SBA that it could provide the same type of service that UTI, an NVOCC, previously had been providing to CMI ..."⁵⁷ This statement is egregiously inaccurate and misleading. In the passage CMI cites, Tincher actually testified as follows:

Q You didn't understand that their tariff refers to their Carrier's rules tariff? That that means that they're acting as a carrier?

A At that time I did not read the entire tariff. I was asked to do something by my customer and I did it [i.e., provide SBA's pricing on UTI's form].

Q Okay.

A So I didn't read the fine print. I didn't -- it was not my understanding that I was presenting a tariff according to FMC rules.

⁵⁵ Vega Declaration at para. 10 and Zasada Declaration.

⁵⁶ CMI Brief at 11.

⁵⁷ *Id.* at 13.

Q Essentially, though, you were saying “Listen, we provide the same type of service as UTI, right?”

A Yes.

Q But that’s not accurate is it?

A I wouldn’t say that.

Q You provide the same service as UTI?

A I don’t know what UTI did. So I can’t answer that question. I don’t know what exact services they were doing. I mean, there are similarities.

Q Well, as far as you’re concerned, there’s really no difference between what they’re doing and you’re doing is there?

A There may be. I don’t know that.⁵⁸

Nowhere does Tincher testify that he advised CMI that SBA would provide “the same service” as did UTI, and CMI, through Jalowiecki, confirms CMI did not infer SBA would.

c) SBA never “assumed responsibility for transportation” as an NVOCC

CMI makes this assertion based on SBA’s purported issuance of bills of lading,⁵⁹ statement to CMI that it would perform the same services as UTI,⁶⁰ and unsupported suggestion that SBA would be responsible for cargo claims.⁶¹ Each of these premises is refuted by CMI’s own employees as demonstrated above, and/or are otherwise unsupported in the record.

CMI offers no evidentiary support for its suggestion that “[i]f there was damage to CMI’s cargo, SBA would inform CMI that it should submit a claim to SBA to get credit or damages.”⁶² In fact, this statement is inaccurate. SBA never agreed to pay cargo claims, and in fact, never received, processed, or paid any CMI cargo claim.⁶³

d) SBA never asserted “carrier liens.”

SBA never asserted a “carrier lien,”⁶⁴ and the record does not suggest otherwise. Any “carrier lien” would have originated with CMI’s Chinese suppliers and be enforced through the

⁵⁸ Transcript of Deposition of Bryan Tincher, a copy of which is attached to CMI’s proposed findings of fact, at 66-67.

⁵⁹ CMI Brief at 9.

⁶⁰ *Id.* at 13.

⁶¹ *Id.*

⁶² CMI Brief at 13. CMI’s Statement of Facts at paragraph 50, which states without any supporting evidence in the record that “[a]t all times CMI believed that if its goods were damaged in transit, SBA as CMI’s carrier would be responsible for such damages.” Why CMI purportedly believed this is a mystery.

⁶³ Zasada Declaration.

⁶⁴ Zasada Declaration.

chain of providers that culminated with Freight Tech. SBA did not physically possess the cargo. SBA did not direct Freight Tech to withhold the cargo in any capacity as a “carrier.” To the extent SBA’s direction to Freight Tech to hold the cargo might be interpreted as a “lien” of any sort, it would be a commercial possessory lien on chattels for services rendered.⁶⁵

e) SBA did not “conceal the identity of the actual carrier.”

CMI’s argument that SBA became an NVOCC when it “conceal[ed] the identity of the actual carrier”⁶⁶ is groundless. CMI concedes it received from SBA,⁶⁷ and indeed produced in discovery, copies of bills of lading issued by the Chinese NVOCCs. Thus, it obviously knew their identities, including the primary NVOCC, LAS Freight.

3) No evidence suggests, and CMI does not argue, that SBA “held itself out to the general public” as an NVOCC to the public at large

CMI does not suggest, much less argue and support with evidence, that SBA “held itself out” as an NVOCC *to the general public* as an NVOCC or other carrier. The record contains no evidence that SBA’s website, advertising materials, letterhead, standard forms, etc., suggest SBA offers or provides NVOCC or other ocean carrier services. As demonstrated in the Legal Argument section below, the absence of such evidence defeats CMI’s argument that SBA “held itself out” as an NVOCC and therefore should be subject to the Shipping Act.

F) CMI’s Cash Flow Difficulties Prevented Its Retrieval of Delivered Cargo

During the shipment transactions at issue, CMI was “experiencing cash flow problems,” which prevented it from paying its suppliers. When asked whether “the cash flow problems arose, at least in part, because your customers weren’t paying for product,” she responded “Well, we had bad product. ... Yes.”⁶⁸ This circumstance derived from “an informal arrangement [CMI had] with [its] suppliers in China,” which CMI’s 30(b)(6) designee explained as follows: “When containers are ordered and the product ends up being a bad product, our customers don’t want it.

⁶⁵ See, e.g., Illinois statute 770 ILCS 45.

⁶⁶ CMI Brief at 11.

⁶⁷ Vega Deposition at 106-07.

⁶⁸ *Id.* at 119-20.

So I'm sitting on product that's bad. And I'm not getting the cash flow that I need to pay other containers to come in."⁶⁹ When customers "didn't want to pay for" the "bad product," CMI's cash flow problem followed, as CMI's 30(b)(6) designee put it, "somewhat."⁷⁰

Consequently, CMI did not always timely pay its Chinese suppliers. CMI concedes it missed timely payment "about 25 percent of the times."⁷¹ As CMI's 30(b)(6) Designee further explained:

We weren't receiving our customer's receipts, timely manner. Our customers were behind because, you know, our product was behind. You know, that's how we would place -- you know, being able to pay ... our suppliers. Those are large dollar amounts. And basically, you know, we were waiting; our customers to receive their product, so they can pay us. And it's just a vicious cycle sometimes where they didn't get the product.⁷²

This resulted in containers arriving in the U.S. which transportation service providers (such as Freight Tech) could not release to CMI because telex releases had not been issued. CMI was aware that "SBA could not properly release containers if the supplier had not been paid and issued a Telex release."⁷³ Of the 60 containers at issue, CMI's 30(b)(6) Designee claimed she did not "recall" how many containers contained cargo for which CMI had not paid its suppliers upon arrival in the U.S.⁷⁴ CMI was "aware that if cargo was not retrieved for whatever reason -- storage, detention -- demurrage charges will accrue..."⁷⁵ That inability to release cargo for which CMI had not paid its suppliers resulted from liens the Chinese shippers held and enforced through steamship lines, railroads, and ultimately, Freight Tech and SBA.⁷⁶

⁶⁹ *Id.* at 133.

⁷⁰ *Id.* at 134.

⁷¹ *Id.* at 86-87.

⁷² *Id.* at 87.

⁷³ *Id.* at 126-27.

⁷⁴ *Id.* at 127.

⁷⁵ *Id.* at 141.

⁷⁶ Withholding of "demurrage" payments to logistics providers apparently was CMI's ongoing practice. As Jalowiecki testifies in his declaration, CMI principal Michael Gallo "frequently would tell me that CMI did not have adequate resources to pay CMI's demurrage obligations to SBA and Freight Tech, and therefore instructed me to ask SBA/Freight Tech to withhold delivery until funds were available. When payments became due to SBA, Mr. Gallo would tell me 'SBA can wait.' This was CMI's usual practice. CMI had engaged transportation service provider ...UTI to administer its inbound transportation services through late 2014. Mr. Gallo frequently instructed me to

G) “Demurrage” Charges

Preliminarily, SBA agrees that use of the term “demurrage” was perhaps inartful in the subject transactions.⁷⁷ As Freight Tech used that term in its invoices to SBA, SBA used it in invoicing CMI (i.e., SBA did not originate its usage).⁷⁸ However, CMI was not confused by the term, understanding it to mean storage charges that would properly accrue when its cargo was not retrieved based on its inability to pay its Chinese suppliers. CMI’s 30(b)(6) Designee testified as follows in deposition:

Q What do you understand demurrage to mean as the term has been used in this series of transactions between SBA and CMI?

A ...That the container was being held in storage.

Q It’s essentially a storage charge, right?

A Correct.

Q Okay.

Q And a storage charge accrues because the container is not being picked up, right? Is that your understanding?

A Yes, and the carrier is not releasing it.

Q Okay. So the cargo is sitting there because CMI cannot pick it up because the supplier won’t release it; is that right?

A That’s what we were told by SBA.⁷⁹

Despite this testimony, CMI makes much of emails SBA sent CMI referencing demurrage costs as having originated with steamship lines.⁸⁰ As SBA’s regional manager, Ed Zasada, testified, SBA’s use of the term “steamship line ... was paraphrasing or using a

withhold payments, including demurrage, from UTI pending CMI’s resolving cash flow issues it had with its customers and suppliers.”

⁷⁷ See CMI Brief at 2-3, raising issues as to usage of the term “demurrage” in the ocean shipping industry.

⁷⁸ The term “demurrage” is used in modes of transportation other than ocean, including motor and rail. *See, e.g. N. Am. Freight Car Ass’n v. Surface Transportation Board*, 529 F.3d 1166 (D.C. Cir. 2008), upholding the Surface Transportation Board’s decision denying the North American Freight Car Association’s challenge to storage and demurrage charges imposed by Burlington Northern and Santa Fe Railway Company for empty freight cars that remained on the tracks beyond the free period.

⁷⁹ Vega Deposition at 92-93.

⁸⁰ CMI Brief at 17.

colloquial term ... to make it simple for them by using the term 'co-loaders.'"⁸¹ Thus, the "steamship line" reference was not deceptive, and as CMI admits, it understood what was meant.

As CMI had not paid its suppliers, its Chinese suppliers did not authorize issuance of telex releases to the chain of transportation service providers, and Freight Tech was forced to hold the cargo. This generated "demurrage" charges that SBA paid, and which CMI was required to reimburse, before obtaining its cargo. Per SBA's agreement with Freight Tech, SBA paid the accrued demurrage to Freight Tech on an ongoing basis and had to seek reimbursement from CMI.⁸²

At various times between April 2014 and July 2015,⁸³ SBA notified CMI that its cargo had arrived, and was ready for onward delivery from Freight Tech's yard pending issuance of telex releases. SBA informed CMI numerous times that the "free days" Freight Tech allotted for storage had expired for specified containers, and that extensive demurrage charges were accruing.⁸⁴ When CMI had resolved its cash-flow issues, it agreed it owed, and fully paid, SBA the invoiced demurrage without complaint or objection.⁸⁵

CMI's 30(b)(6) Designee, Maria Vega, is CMI's controller. When CMI's inability to pay its Chinese suppliers began to generate a chronic demurrage issue, Vega advised SBA that she needed to budget future demurrage charges. In or about early 2015, she asked Zasada to calculate a fixed per diem demurrage rate per container that SBA would charge without deviation. This would enable her to budget payments for future shipments accurately when CMI's cash flow issues prevented retrieval of arrived containers. Zasada advised Vega that this was a "bad idea," because it would force SBA to make estimates that would have to cover unknown future costs. Nonetheless, in or about January or February 2015, Vega insisted that SBA provide CMI a fixed rate that SBA would "stick to," and "to make sure you cover

⁸¹ Deposition of Edward Zasada, a copy of which is attached to CMI's Statement of Facts, at 43.

⁸² Zasada Declaration.

⁸³ See table attached as Exhibit 1 to the Verified Complaint.

⁸⁴ Zasada Declaration.

⁸⁵ *Id.*

yourself.” After computing average demurrage costs based on historical data, SBA proposed, and CMI accepted, a demurrage rate of \$300/container/day.⁸⁶

CMI’s 30(b)(6) testimony in this regard was somewhat cryptic, if not evasive, but she did not deny CMI had entered into an agreement with SBA to pay \$300/container/day in demurrage charges:

Q Okay. Did you ever ask for estimates of future demurrage?

A I didn’t.

Q Did CMI?

A Could have been, Diana [Alvarez, a CMI bookkeeper] asked.

Q Okay. You don’t know whether CMI asked SBA to calculate future demurrage charges based on dates when cargo likely would be received?

A I myself don’t recall, but I believe Diana would have been the one. ...⁸⁷

Q Okay. When did you first become aware that SBA was charging CMI \$300 per container per day for demurrage?

A I know it didn’t originally start that way.

Q But you don’t recall when?

A Not exactly, no, not the exact invoice, no.⁸⁸

Toward the end of the parties’ business relationship, CMI threatened SBA that it would file bankruptcy if SBA did not secure the release of its cargo without full payment of outstanding demurrage charges. CMI’s 30(b)(6) designee confirmed this, although she categorized it as “just an idle threat to get our containers.”⁸⁹ However, CMI understands that this “idle threat” prompted SBA to withhold release of the final six CMI containers pending payment of the outstanding demurrage.⁹⁰ CMI ultimately paid all demurrage charges without protest and retrieved its final six containers.⁹¹

⁸⁶ *Id.*

⁸⁷ Vega Deposition at 146.

⁸⁸ *Id.* at 153.

⁸⁹ *Id.* at 140.

⁹⁰ *Id.* at 140-41. Contrary to CMI’s 30(b)(6) testimony that “six” containers remained for release, CMI now asserts that “fifteen” containers were withheld pending CMI’s settling its account. CMI Brief at 7 and 21.

⁹¹ Zasada Declaration.

SBA estimates that the demurrage it collected from CMI exceeds payments SBA made to Freight Tech by approximately 20%. This margin is appropriate under industry standards to account for SBA's administrative efforts and the risk that CMI would not pay SBA demurrage charges SBA had paid Freight Tech.⁹² CMI paid \$300/container/day after a certain point in the relationship based on its own requested contractual agreement with SBA to do so.

H) Proceedings

On June 26, 2017, SBA filed a Motion to Dismiss pursuant to 69 CFR §502.70, FRCP 12(b)(6) and FRCP 12(b)(1), asserting that nothing in the record suggests it issued bills of lading or otherwise operated or held itself out as NVOCC in its transactions with CMI. The motion was granted in part and denied in part by an Order dated October 6, 2017 (the "Order"). Finding that eighteen of the shipments CMI placed at issue in its Verified Complaint landed in Canadian seaports, the Order dismissed those shipments on the ground they are outside Commission jurisdiction.⁹³

III. LEGAL ARGUMENT

The burden of establishing subject-matter jurisdiction rests with the claimant invoking it.⁹⁴ CMI's claims should be dismissed for lack of Commission jurisdiction because it fails to demonstrate SBA operated or held itself out to the public at large as an NVOCC.

A) The Shipping Act does Not Apply if SBA Operated as an Ocean Freight Forwarder for Inbound Cargo

CMI strains to depict SBA as NVOCC because that that it is the only role that could give rise to Commission subject-matter jurisdiction. There is no suggestion SBA operated as a VOCC. SBA may not be held liable under the Shipping Act as an ocean freight forwarder ("OFF") because the Shipping Act does not apply to inbound forwarding activity. "The Commission does not have jurisdiction over ocean freight forwarders that perform services on

⁹² *Id.*

⁹³ Order at 3.

⁹⁴ *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, FMC 06-02, 2007 FMC LEXIS 33, at *10, citing *Richmond, Fredericksburg & Potomac R. Co. v. U.S.*, 945 F.2d 765, 768 (4th Cir. 1991).

shipments coming to the United States. ... [Thus, such an entity] would not itself be liable for any violation of the Act.”⁹⁵

Nothing in the record suggests SBA undertook outbound freight forwarding activities. Only with the filing of its Verified Complaint did CMI first assert that SBA operated as an NVOCC, transparently so that allegations regarding unlicensed operations, and operations in violation of tariff requirements, could be included that might invoke the Shipping Act. That approach toward eliciting Commission jurisdiction is mistaken at best.

B) The Statutory Definition of “NVOCC” does Not Encompass SBA

46 U.S.C. §40102(16) defines NVOCC to mean “a common carrier that ... (B) is a shipper in its relationship *with an ocean common carrier* [emphasis added].” CMI makes no argument that SBA was a “shipper” in its relationship with any common carrier. No bill of lading or other documentation identifies SBA as a shipper of record. The VOCC bills of lading and/or bills of lading issued by LAS Freight or the other Chinese NVOCCs would confirm this, but are conspicuously absent from the record. CMI’s own expert concedes that the record does not suggest SBA was an NVOCC.

C) SBA did Not “Hold Itself Out to the General Public” as an NVOCC

CMI’s argument that SBA issued bills of lading governing the subject transports, thereby establishing itself as an NVOCC, is factually unsupported, and therefore fails. Thus, to establish Commission jurisdiction, CMI must demonstrate that SBA otherwise “held itself out to the general public.” It fails to do so.

An element of the definition of “common carrier” as provided at 46 U.S.C. §40102(6)(A)(i) is that the entity “holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation.” CMI’s argument that SBA “held itself out” as an NVOCC fails on its face, as it is limited to alleged (and factually unsupported) representations SBA made only to CMI. If

⁹⁵ *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC; IFS International Forwarding, S.L.; and IFS Neutral Maritime Services*, FMC 14-04, 2014 FMC LEXIS 29, at *22-23.

taken as true, these representations would not constitute hold[ing] “out to the general public to provide transportation ...” As the Commission has ruled:

The “holding out” analysis places emphasis on an entity’s interaction with the public. An entity would not be considered an NVOCC unless it was holding out to provide NVOCC services to the general public on its own behalf. [T]he Commission noted that a person may hold out to provide transportation to the public “by the establishment and maintenance of tariffs, by advertisement and solicitation, and otherwise.” [citation omitted]. [T]he Commission recognized that solicitation and advertising are important factors in determining whether a person is “holding out.” [citation omitted]. [T]he Commission considered whose services the purported agents were actually advertising and marketing, who was listed on the bill of lading, and whether the shipper-customers were aware of the existence of the NVOCC principal. [citation omitted]. As illustrated in these cases, the “holding out” analysis depends on how the entity in question presents itself to the shipping public.⁹⁶

CMI alleges not one instance in which SBA ostensibly “held itself out” to any member of the “shipping public” other than CMI itself. The Commission has further ruled as follows:

As a “common carrier” is defined in the Shipping Act, an NVOCC “holds out” to the “general public to provide transportation by water” and “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination” [citation omitted]. The Commission has found that no single factor of an entity’s operation is determinative of its status as a common carrier. [citations omitted]. Rather, the Commission must evaluate the indicia of common carriage on a case-by-case basis. [citation omitted]. The most essential factor is whether the carrier holds itself out to accept cargo from whoever offers to the extent of its ability to carry, and the other relevant factors include the variety and type of cargo carried, number of shippers, type of solicitation utilized, regularity of service and port coverage, responsibility of the carrier towards the cargo, issuance of bills of lading or other standardized contracts of carriage, and the method of establishing and charging rates. [citation omitted].⁹⁷

Of these factors, CMI addresses in its arguments, at most, “issuance of bills of lading” and “method of establishing and charging rates,” but as demonstrated above, those arguments fail even in the limited context of SBA’s transactions with CMI. SBA issued no bills of lading, and

⁹⁶ *In the Matter of the Lawfulness of Unlicensed Persons Acting as Agents for Licensed Ocean Transportation Intermediaries - Petition for Declaratory Order*, FMC 06-08, 2008 FMC LEXIS 9, at *40-41, citing *Common Carriers by Water--Status of Express Companies, Truck Lines and Other Non-Vessel Carriers*, 6 F.M.B. 245, 256 (1961); *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 6 S.R.R. 483, 489 n.7 (1965).

⁹⁷ *Rose International, Inc. v. Overseas Moving Network International, Ltd., et al.*, FMC 96-05, 2001 FMC LEXIS 39, at *134, citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 763 (1999).

its pricing was based, per CMI's request, on pricing UTI had earlier charged. Nor does CMI substantiate that an entity's activities with a single shipper are sufficient to satisfy §40102(6)(A)(i).

D) SBA did Not Perform Tasks Delineated in 46 C.F.R. §515.2(K)

CMI cites⁹⁸ the examples of NVOCC tasks described in 46 C.F.R. §515.2(k). SBA performed none of them in the subject shipments:

1) Purchasing transportation services from a common carrier and offering such services for resale to other persons.

The record does not suggest SBA purchased on its own account any transportation services from VOCCs or NVOCCs. Had it done so, it would be named on bills of lading issued by such VOCCs or NVOCCs, and none exist. At most, SBA purchased transportation services as CMI's disclosed agent.

2) Payment of port-to-port or multimodal transportation charges.

The record does not suggest SBA purchased on its own account any port-to-port or multimodal transportation services from VOCCs or NVOCCs. Had it done so, documentation would confirm it. At most, SBA purchased port-to-port and/or multimodal transportation services as CMI's disclosed agent.

3) Entering into affreightment agreements with underlying shippers.

The record shows no such agreements by SBA with either CMI or CMI's Chinese suppliers, which were the shippers of the subject cargo.

4) Issuing bills of lading or other shipping documents.

As demonstrated above, SBA did not issue bills of lading or other shipping documents.

5) Assisting with clearing shipments in accordance with U.S. government regulations.

While SBA Consolidators provided customs clearance services, CMI has abandoned its claims against that respondent.

⁹⁸ CMI Brief at 12.

6) Arranging for inland transportation and paying for inland freight charges on through transportation movements.

While SBA arranged inland transportation, the record does not suggest it purchased or paid for such services on its own account. Had it done so, it would be named on bills of lading issued by inland carriers. At most, SBA purchased inland transportation services as CMI's disclosed agent.

7) Paying lawful compensation to ocean freight forwarders.

The record does not suggest SBA did so.

8) Coordinating the movement of shipments between origin or destination and vessel.

The record does not suggest SBA did so. LAS Freight did so pursuant to its own house bills of lading.

9) Leasing containers.

The record does not suggest SBA did so.

10) Entering into arrangements with origin or destination agents.

The record does not suggest SBA did so.

11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

The record does not suggest SBA did so.

E) *Worldwide Relocations, Inc.*

Throughout its brief, CMI relies heavily on the Commission's decision in *Worldwide Relocations, Inc.*, et al., 06-01 (2012). Notably, *Worldwide Relocations* addressed distinctions between OFF and NVOCC activities when the ocean transportation intermediaries were licensed as both. SBA's services to CMI might, at most, be characterized as OFF activities for inbound cargo which are not subject to the Shipping Act and would not require Commission licensing. However, SBA does not contend in this proceeding that it is an OFF. Thus *Worldwide Relocations* is inapposite. Nonetheless, SBA addresses points CMI raises regarding conclusions *Worldwide Relocations* reached as follows:

1) “Permissible inferences” regarding assumption of responsibility

Worldwide Relocations concluded that inferences regarding assumption of responsibility may permissibly be drawn only *after* it is established that an entity “held itself out to the general public” as an NVOCC, as is seen by the summary of its decision on the issue:

In summary, once the presiding officer has made a finding that (1) the entity has “held itself out to the general public”; and (2) that vessels on the high seas or Great Lakes were utilized for part or all of the transportation, then that finding may apply to any and all shipments during the relevant time period. The opposing party would have the right to offer evidence, for example, that a vessel was not involved in a particular shipment.⁹⁹

As CMI fails to demonstrate SBA held itself out to the general public as an NVOCC, this analysis does not arise.

2) SBA did not engage in NVOCC practices

Worldwide Relocations made the following determinations:

The ALJ was thus able to conclude that, despite having bills of lading that -- in a vacuum -- might not answer whether the proprietary shipper had a relationship with the downstream carrier and whether the respondent acted as an Ocean Freight Forwarder, here there was evidence that the respondent was routinely misrepresenting who the shipper was on shipping documents, while charging its own higher freight rate for shipments. This pattern of manipulating the identity on the bill of lading while actually charging a separate, higher ocean freight rate appears across all respondents.¹⁰⁰

That is not the case here. SBA never “misrepresented the shipper” (the Chinese NVOCCs’ bills of lading, which CMI received, named the shippers); and SBA’s pricing was established based on rates UTI had previously charged CMI. SBA did not charge separate and higher rates than those charged by the Chinese NVOCCs as part of “reselling” the latter’s services; rather, it merely priced ocean shipping at rates CMI requested based on UTI’s earlier pricing.

IV. CONCLUSION

The evidence and testimony, most of which CMI itself produced and gave in depositions and declarations, make abundantly clear that SBA neither held itself out to the general public as

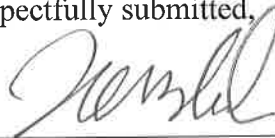
⁹⁹ *Worldwide Relocations*, FMC 06-01, 2012 FMC LEXIS 23, at *23-24.

¹⁰⁰ *Id.* at 26.

an NVOCC nor operated as an NVOCC in its transactions with CMI. CMI concedes it had no understanding that SBA offered or provided NVOCC services. It was aware through documentation in its files that LAS Freight and other Chinese NVOCCs were acting as carriers of record, and did not interpret the "air waybill" forms containing accounting data, which SBA produced at CMI's request, to be functional bills of lading. Accordingly, CMI's claims against SBA should be dismissed.

Given the absence of any basis for CMI to claim it understood otherwise, SBA will request an award of its attorneys' fees incurred by this proceeding pursuant to 46 U.S.C. §41305(e).

Respectfully submitted,



Steven W. Block
FOSTER PEPPER PLLC
1111 Third Avenue, Suite 3000
Seattle, WA 98101-3292
Telephone: (206) 447-4400
Facsimile: (206) 447-9700
E-Mail: steve.block@foster.com
Attorney for Respondents

May 2, 2018

CERTIFICATE OF SERVICE

The undersigned declares that on the date stated below I caused to be served the foregoing document, upon the following in the manner of service indicated:

David Street
Brendan Collins
GKG Law, P.C.
The Foundry Building
1055 Thomas Jefferson Street NW
Suite 500
Washington, DC 20007
Attorneys for CMI Distribution, Inc.

- ☒ Via First Class U.S. Mail
- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 2nd day of May, 2018.


Michelle Stark